FINANCIAL RESULTS FOR THE SIX-MONTH PERIOD ENDED 30 SEPTEMBER 2018

The Board of Directors of Centum Investment Company Plc is pleased to announce the unaudited interim financial results of the Group and Company for the six-month period ended 30 September 2018 as set out below: -

CENTUM
tangible wealth

CONSOLIDATED AND COMPANY STATEMENTS OF COMPREHENSIVE INCOME FOR THE SIX MONTH PERIOD ENDED 30 SEPTEMBER 2018

KES. '000	GROUP Sept' 18	GROUP Sept' 17	COMPANY Sept' 18	COMPANY Sept' 17
Trading business:				
Sales	4,818,287	4,772,045	-	-
Direct and other operating costs	(4,428,471)	(4,223,126)	-	-
Trading Profit	**389,816**	**548,919**	-	-
Financial services:				
Income from financial services	1,608,407	1,585,604	-	-
Funding and other costs	(1,700,240)	(1,697,085)	-	-
Operating loss from financial services	**(91,833)**	**(111,481)**	-	-
Investment operations:				
Investment and other income	4,093,440	2,203,492	2,132,751	1,070,007
Realised gains on disposal of investments	19,743	11,461	-	-
Operating and administrative costs	(683,689)	(524,585)	(266,618)	(292,055)
Finance costs	(1,230,388)	(557,253)	(874,073)	(929,551)
Share of associates (losses) / profits	(104,891)	195,036	-	-
Profit/ (loss) before tax	**2,392,198**	**1,765,589**	**992,060**	**(151,599)**
Profit/ (loss) after tax	**2,079,909**	**1,631,416**	**992,060**	**(151,599)**
Other comprehensive income, net of tax	(555,827)	296,659	165,241	2,550,699
Total comprehensive income	**1,524,082**	**1,928,075**	**1,157,301**	**2,399,100**
Earnings Per Share-Basic	3.40	2.07		

CONSOLIDATED AND COMPANY STATEMENTS OF FINANCIAL POSITION AS AT 30 SEPTEMBER 2018

KES million	GROUP Sept' 18	GROUP Mar' 18	COMPANY Sept' 18	COMPANY Mar' 18
Portfolio investments	74,145	71,579	65,130	64,253
Cash and cash equivalents	7,728	5,820	1,026	1,078
Other assets	19,500	18,889	796	756
Total Assets	**101,373**	**96,288**	**66,952**	**66,087**
Customer deposits	16,108	12,832	-	-
Borrowings	25,584	24,464	14,770	14,843
Other liabilities	8,058	8,095	3,199	2,558
Total Liabilities	**49,750**	**45,391**	**17,969**	**17,401**
Total Equity	**51,623**	**50,897**	**48,983**	**48,686**
Total Capital and Liabilities	**101,373**	**96,288**	**66,952**	**66,087**
NAV per share (KES.)			73.61	73.16

CONSOLIDATED AND COMPANY STATEMENTS OF CASH FLOWS FOR THE SIX MONTH PERIOD ENDED 30 SEPTEMBER 2018

KES million	Sept' 18	Sept' 17
Opening cash and cash equivalents	**3,872**	**4,657**
Net cash from operations	2,578	537
Net cash used in investing activities	(2,871)	(2,584)
Cash generated from financing activities	3,816	2,311
Closing cash and cash equivalents	**7,395**	**4,921**

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTH PERIOD ENDED 30 SEPTEMBER 2018

KES million	Sept' 18	Mar' 18
Share capital	333	333
Share premium	590	590
Other reserves	1,834	2,390
Retained earnings	36,623	34,359
Proposed dividends	-	798
Non-controlling interests	12,243	12,427
Total	**51,623**	**50,897**

The financial data presented above are selected extracts of the unaudited interim financial results. For an in-depth analysis of performance, please visit **www.centum.co.ke**

A. FINANCIAL PERFORMANCE

Group Performance

The Group recorded a 27% growth in consolidated net profit for the six-month period ended 30 September 2018, compared to a similar period in the prior year, on the back of a strong investment income performance. The underlying performance of the Group's four business units is set out below.

Private Equity

The Private Equity business recorded a KES 1.5 billion consolidated operating profit for the period ended 30 September 2018. This represented a 300% increase over the KES 513 million recorded for a similar period in 2017. During the period, the Group completed the disposal of GenAfrica Asset Managers Limited, realising a gain of KES 1.2 billion. Through this transaction, the Group achieved a holding period IRR of 29% for the investment, demonstrating our track record in growing shareholder wealth through an optimal investment strategy, portfolio management and successful exits. Consolidated dividend income received from portfolio companies where the Group holds minority stakes also increased by 60%. Sidian Bank Limited, which falls within this business unit, has seen significant improvement in its performance compared to the prior year. The bank's focus on growing its non-funded income through growth in trade finance business has seen non-funded income increase by 68% compared to a similar period in 2017. Notably, non-funded income was higher than net interest income during the period while trade finance balances have grown by 700% over the last 12 months, demonstrating the successful implementation of the bank's new strategic focus. The bank has also recorded a 15% growth in both total assets and customer deposits over the last six months. To support this growth, we recapitalised the bank in 2018 through a full subscription to its KES 1.2 billion rights issue. The bank's strong capital base, balance sheet and trade finance book now provide it with a strong platform for growth and it is expected to return to profitability in the next financial year. Longhorn Publishers Limited recorded a 168% growth in profitability over the period to 30 September 2018, driven by a strong top line performance. The beverage business however recorded lower volumes as a result of distribution chain disruptions during the heavy rains experienced in the first half of the year, resulting in a 2% top line decline.

Real Estate

Within the Real Estate business unit, the Group is developing three projects, namely Two Rivers Development in Nairobi, Vipingo Development in Kilifi and Pearl Marina Development in Uganda. Focus within these three developments has been continued activation of the sites and monetisation. Over the last six months, the three companies have gained significant traction in pre-sale of residential infill projects and land development rights. At 30 September 2018, the revenue potential for pre-sales achieved was KES 1.8 billion, with a corresponding profit potential of KES 460 million.

The Real Estate business recorded a fair valuation gain of KES 2.7 billion over the period. This valuation is supported by sale of land development rights during the period, which were achieved at valuations that were several multiples to the book carrying value of the land.

Marketable Securities

The Group held KES 3.5 billion in marketable securities at 30 September 2018. This portfolio is structured to minimize risk of capital loss while generating cash and additional liquidity for the Group from income and capital gains. Over the last six months, this portfolio recorded a realised cash investment income of KES 130 million.

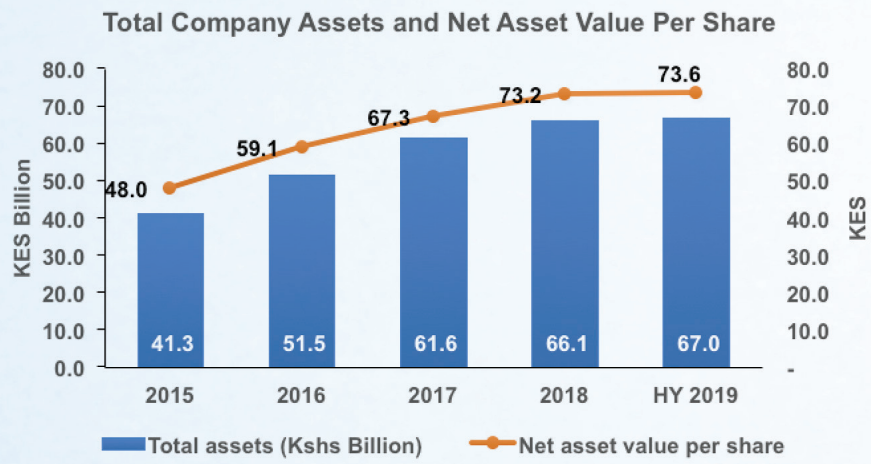
Development Portfolio

Within the development portfolio, we hold investments in the Sabis International School – Runda, two energy projects and in Greenblade Growers Limited, a herbs producer and exporter. The Sabis school admitted its first students in September 2018. We are on track to complete the financial close for the two energy projects. The agribusiness subsidiary has been scaling up its operations over the last six months and is on course to break even over the next quarter.

Company Performance

Company level profitability improved to KES 1 billion from a prior period loss of KES 152 million, driven primarily by the GenAfrica Asset Managers Limited transaction. This performance was also achieved on the back of a 9% decrease in operating expenses and a 6% decrease in finance costs.

Shareholder funds increased from KES 48.7 billion as at 31 March 2018 to Kes 48.9 billion as at 30 September 2018 while total assets grew from KES 66 billion to KES 67 billion over the same period. Performance on NAV per share and total assets since the commencement of our current strategy period in 2014 is set out below.



B. LIQUIDITY AND BORROWINGS

Following the successful redemption of the KES 4.2 billion bond in September 2017, the composition of the Company's long-term borrowings remained unchanged from the position at 31 March 2018, as shown below.

Borrowings (KES Mn)	31 March 2018	30 September 2018
Corporate Bond II (2015)	6,294	6,294
Term Loan	5,087	5,105
Total	**11,381**	**11,389**

The Company's debt service capacity remains strong with Debt Service Coverage Ratio (DSCR) consistently above the minimum level of 1.5x set under its various debt covenants, as summarised below:

KES Mn	FY14	FY15	FY16	FY17	FY18	FY19
Operating Inflows	4,146	8,114	7,904	5,259	6,270	3,364
Operating Outflows	(463)	(519)	(1,033)	(922)	(667)	(358)
Internally Generated Funds	3,683	7,595	6,871	4,337	5,603	3,006
Finance Costs	660	814	1,511	1,754	1,646	874
Debt Service Coverage	**5.6x**	**9.3x**	**4.5x**	**2.5x**	**3.4x**	**3.4x**

The overall gearing level remains below 30% against the covenant ceiling of 50%, with Long Term Debt to Equity ratio unchanged at 23% (FY18: 23%).

KES Mn	FY14	FY15	FY16	FY17	FY18	FY19
Net Debt (Total debt less cash)	5,317	3,896	6,559	12,209	13,765	13,744
Equity (Net Asset Value)	22,936	31,939	39,314	44,808	48,686	48,983
Net Debt to Equity	23%	12%	17%	27%	28%	28%	
Long Term Debt to Equity	18%	24%	27%	31%	23%	23%

The company closed the half year period with a cash balance of KES 1 billion.

By Order of the Board

James Mworia, CFA, CGMA
Group Chief Executive Officer and Managing Director